

Dry Bulk Shipping

Bi-Weekly Industry Report

September 29, 2026

- What If: The Bear Case for Dry Bulk** – As we enter the seasonally strong fourth quarter, dry bulk **shipping spot rates** remain exceptionally **robust**, with full-year averages on track to reach multi-year highs. Market consensus remains firmly bullish, with **little indication of an imminent correction**, an **outlook we share** given the absence of near-term catalysts to disrupt current rate stability. Nevertheless, several potential **developments** could trigger a **downward adjustment** that would catch the broader industry off guard. We attribute current rate strength primarily to **widespread fleet inefficiencies**, which have reduced effective supply well below headline capacity. Consequently, any meaningful market correction requires an expansion in effective supply through operational improvements across loading, discharging, bunkering, and transit times. Because these friction points stem largely from ongoing conflicts, geopolitical shifts remain the critical catalyst to monitor. The magnitude of these supply constraints is substantial; without them, **underlying supply-and-demand** fundamentals would sit at **multi-decade lows** (excluding the pandemic period, which was similarly buoyed by operational friction). While we maintain a **constructive outlook** due to limited visibility into near-term geopolitical resolution, underlying market fundamentals, specifically projected demand growth alongside headline fleet expansion, indicate increasingly **loose market balances** in the years ahead.
- Freight Rates Continue to Put Pressure on Iron Ore, Bauxite Margins** – The **recent escalation in headline freight rates**, paired with elevated diesel prices, is significantly **impacting mining operations**, particularly within the iron ore and bauxite sectors. Smaller Brazilian operators and Guinean miners are experiencing **multi-year lows in profit margins**, facing a dual squeeze from high domestic production costs and surging logistics expenses, where the Atlantic-to-China freight rate now accounts for over 40% of the landed cost for iron ore and an unprecedented 55% for bauxite. While these escalating costs may not immediately depress export volumes in the near term, a **prolonged pricing environment** of this nature will likely render **volume reductions** inevitable over time.
- Our Long-term View** – The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady but elevated fleet growth.

Short-term Indicators

Momentum: **Negative**

Sentiment: **Neutral**

Fundamentals: **Neutral**

Breakwave Dry Futures Index: 3325

30D: -0.8% ↓

YTD: 116.4% ↑

YOY: 63.7% ↑

Baltic Dry Index (spot): 3268

30D: 2.6% ↑

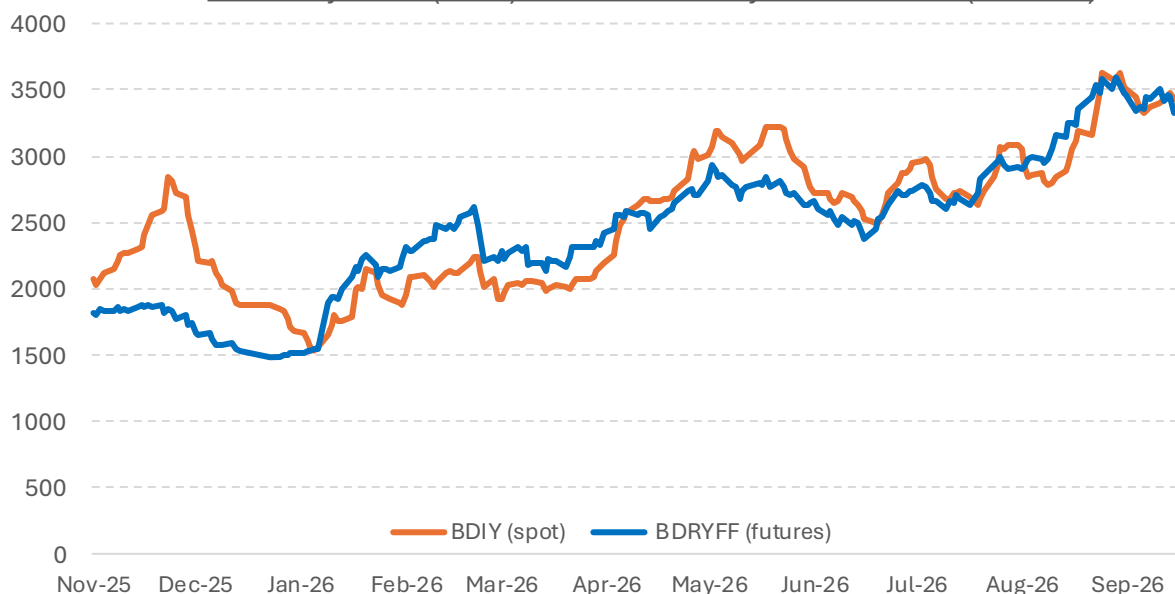
YTD: 74.1% ↑

YOY: 44.7% ↑

Reuters: BDRY.K
Bloomberg: BDRY US
Exchange: NYSE

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Baltic Dry Index (BDIY) vs Breakwave Dry Futures Index (BDRYFF)



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	652mt	-3.0%
China Steel Inventories	4.4mt	-7.7%
China Iron Ore Inventories	152mt	14.9%
China Iron Ore Imports	846mt	5.4%
China Coal Imports	310mt	3.4%
China Soybean Imports	74mt	1.3%
Brazil Iron Ore Exports	264mt	-0.6%
Australia Iron Ore Exports	542mt	3.6%

Supply

Dry Bulk Fleet	1093 mdwt	3.7%
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Freight Rates

Baltic Dry Index, Average	2,580	69.8%
Capesize Spot Rates, Average	33,488	78.6%
Panamax Spot rates, Average	18,274	46.7%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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